NEGOTIABLE INSTRUMENTS

Documents of a certain type, used in commercial transactions and monetary dealings, are called Negotiable Instruments.

"Negotiable" means transferable by delivery and "instrument" means a written document by which a right is created in favor of some person. The term negotiable instrument, therefore, literally means "a document transferable by delivery".

THE PROMISSORY NOTE

Definition: "A promissory note is an instrument in writing (not being a bank note or a currency note) containing an unconditional undertaking signed by the maker, to pay a certain sum of money only to, or to the order of, a certain person, or to the bearer of the instrument.

The person who makes the promise to pay is called the Maker. He is the debtor and must sign the instrument. The person who will get the money (the creditor) is called the Payee.

Essential Elements:
From the definition given in the Act it is apparent that the following essential requirements must be fulfilled by an instrument intended to be a promissory note:

1. The instrument must be in writing.

2. The instrument must contain a promise to pay. The promise to pay must be express. It cannot be implied or inferred.
3. The promise to pay must be unconditional. If the promise to pay is coupled with a condition it is not a promissory note.
4. The maker of the instrument must be certain and definite.

5. The instrument must be signed by the maker of it. A signature in pencil or by a rubber stamp or facsimile is good.
6. The sum of money to be paid must be certain.
7. The money must be payable to a definite person or according to his order. (A promissory note cannot be made payable to the bearer on demand. See below.)
8. The payment must be in the legal tender money.

BILL OF EXCHANGE

Definition: "A Bill of Exchange is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay a certain sum of money of a certain person or to the bearer of the instrument. The maker of a bill of exchange is called the Drawer. The person who is directed to pay is called the drawee. Receive the money is called the Payee.
Essential Elements of a Bill of Exchange.
A Bill of Exchange to be valid must fulfill the following requirements:
1. The instrument must be in writing.
2. The instrument must contain an order to pay, which is ex- press and unconditional.
3. The drawer, drawee and the payee must be certain and definite individuals.
4. The instrument must be signed by the drawer.
5. The amount of money to be paid must be certain.

6. The payment must be in the legal tender money of India.
7. The money must be payable to a definite person or according to his order. A bill of exchange cannot be made payable to the bearer on demand.

Differences between a promissory note and a bill of exchange:

1. In a promissory note there are two parties the maker and the payee. In a bill of exchange there are three parties the drawer, the drawee, and the payee.
2. In a promissory note there is a promise to pay. In a bill of exchange there is an order to pay.

3. A promissory note is signed by the person liable to pay; therefore, no acceptance is necessary. A bill of exchange, except in certain cases, requires to be accepted by the drawee before it is binding upon him.

4. The maker of a promissory note is primarily liable on the instrument. The drawer of a bill is liable only when the drawee does not accept the instrument or pay the money due.

5. In case of non-payment or non-acceptance of a bill notice must be given to all persons liable to pay. This is called the notice of dishonor.

CHEQUES
Definition: A cheque is a bill of exchange drawn upon a specified banker and payable on demand.

A cheque may be payable to bearer or to order but in either case it must be payable on demand. The banker named must pay it when it is presented for payment to him at his office during the usual office hours, provided the cheque is validly drawn and the drawer has sufficient funds to his credit.

A cheque must fulfil all the essential requirements o exchange. Bills and notes may be written entirely by hand. There is no legal bar to cheques being hand-written.
Usually however,
Distinction between Bill of Exchange and Cheque.

1. A bill of exchange can be drawn upon any person, including a bank. A cheque can be drawn only upon a bank. Thus every cheque is a bill of exchange but every bill of exchange is not a cheque.
2. Except under certain specified circumstances, a bill of ex- change requires acceptance. A cheque does not require any acceptance.
3. A cheque is always payable on demand. The acceptor of a bill of exchange is allowed a grace period of three days, after the maturity of the bill, to make the payment.
4. The drawer of a bill is discharged from liability if the bill is not presented to the acceptot for payment at the due time. But the drawer of a cheque is discharged from his liability only if he suffers damage owing to delay in presenting the cheque for payment.
5. If a bank fails to pay a notice of dishonour to the drawer to make him liable to compensate cheque, it is not necessary to give the payee. In the case of bills of exchange, it is necessary to give notice of dishonour, except in certain special cases.
6. A cheque may be crossed; there is no provision for crossing a bill.
7. The payment of a cheque may be countermanded by the drawer. The payment of a bill cannot be countermanded.
8. A cheque does not require any stamp. A bill of exchange (except in certain cases) must be stamped.

FEATURES COMMON TO ALL NEGOTIABLE INSTRUMENTS

1. Negotiable instruments can be transferred from one person to another by a simple process. In the case of bearer instruments, delivery to the transferee is sufficient. In the case of order instru- ments, two things are required for a valid transfer indorsement (1.e. signature of the holder) and delivery. An instrument may be made non-transferable by using suitable words e.g.

2. The transferee of a negotiable instrument, when he fulfils certain conditions, is called the holder in due course (see post). The holder in due course gets a good title to the instrument even in cases where the title of the transferor is defective.

3. It is not necessary to give notice of transfer of a negotiable instrument to the party liable to pay. own name. The transferee can sue in his

4. Certain presumptions apply to all negotiable instruments. Example: it is presumed that there is consideration. It is not necessary to write in a promissory note the words "for value received" or similar expressions because the payment of consideration is presumed. The words are usually included to create additional evidence of consideration.
5. A special procedure is provided for suits on promissory notes and bills of exchange. A decree can be obtained much more quickly than it can be in ordinary suits.
6. A document which fails to qualify as a negotiable instrument may nevertheless be used as evidence of the fact of indebtedness.